

7. Discontinued operations

TerrAscend Michigan

In June 2025, the Company committed to a plan to exit the Michigan market. The Company received approval from the Board, together with TerrAscend Corp.'s consolidated entities. As of March 31, 2026, the Company is finalizing its exit from TerrAscend Michigan ("TerrAscend MI"), which is expected to be substantially completed in the first half of 2026. The Company determined that its decision to exit the Michigan market is considered a strategic shift that will have a major effect on the Company's operations and financial results and met the criteria for classification as discontinued operations.

The following table summarizes the major classes of assets and liabilities of TerrAscend MI as of March 31, 2026 and December 31, 2025:

	March 31, 2026	December 31, 2025
	(In thousands)	
Current assets from discontinued operations		
Accounts receivable, net	\$ —	\$ 39
Prepaid expenses and other current assets	135	454
Property and equipment, net	2,038	6,222
Operating lease right of use assets	3,040	5,998
Total current assets from discontinued operations	\$ 5,213	\$ 12,713
Current liabilities from discontinued operations		
Accounts payable and accrued liabilities	\$ 3,805	\$ 3,636
Operating lease liability	3,076	6,342
Finance lease liability	—	1,923
Other liabilities	—	715
Total current liabilities from discontinued operations	\$ 6,881	\$ 12,616

The following table presents the results of operations of TerrAscend MI for the three months ended March 31, 2026 and 2025:

	For the Three Months Ended	
	March 31, 2026	March 31, 2025
	(In thousands)	
Revenue, net	\$ —	\$ 6,693
Cost of Sales	—	4,573
Gross profit	—	2,120
Operating expenses:		
General and administrative	627	5,231
Amortization and depreciation	—	475
Impairment of property and equipment	72	—
Other operating expense (income)	195	—
Total operating expenses	894	5,706
Other expense (income)		
Finance and other expenses	41	78
Loss from discontinued operations before provision for income taxes	(935)	(3,664)
Benefit for income taxes	240	940
Net loss from discontinued operations, net of tax	\$ (1,175)	\$ (4,604)